

The handle length is a median of 30 days, so that gives you some idea of how long handles can be. Expect variations.

Cup retrace. I followed two rules: (1) the handle could not rise above the cup top, and (2) there must be at least some rise—a bounce to the stock after the right rim hits bottom. The most common retrace is listed in the table. That is, price climbed up a portion of the cup (during creation of the handle) before returning to the breakout.

Breakout direction. You must wait for the breakout with this pattern before trading. Too many of the patterns I looked at had price moving upward instead of downward, especially in bull markets. A breakout is a close below point B, the lowest low on the right rim.

Confirmation. The pattern confirms when price closes below the right rim (stages a downward breakout).

[Figure 22.3](#) shows another example of an inverted cup-with-handle. This icup has uneven rims and a top that is really an Eve & Eve double top chart pattern with a diamond bottom (not highlighted) nestled between those two peaks.

The inverted cup makes a gentle swing upward from A to B. Points A and B are 9% apart in price. That is wider than I like to see, but I consider it a valid icup. The handle forms a second bump well below the main cup, but this one has an irregular shape.

Focus on Failures

What do failures look like, and what causes them? [Figure 22.4](#) shows one type of failure—an identification failure. The cup appears in an upward price trend, suggesting it will act as a reversal after a downward breakout. The cup itself is rounded with rims that bottom 5% apart in price. That is close enough for government work, as the saying goes. The pattern qualifies as an icup with one glaring exception. Do you know what it is?